

EXAM 7 – SPRING 2015

27. (1.5 points)

a. (1 point)

Describe two consequences of financial distress for insurance companies.

b. (0.5 point)

Briefly describe two reasons why mutual insurance companies tend to purchase more reinsurance than publicly owned insurance companies.

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EXAM 7 SPRING 2015 SAMPLE ANSWERS AND EXAMINERS' REPORT

QUESTION 27	
TOTAL POINT VALUE: 1.5	LEARNING OBJECTIVE: C6: Describe the rationale for, methods for, and effect of managing insurance and financial risks.
SAMPLE ANSWERS	
Part a: 1 point	
<i>Sample Answer 1</i> The biggest cost for insurers is the devaluing of the actual insurance product, the insurer's promise to pay claims. Since funds may not be there to pay claims the product is worth less. Customers will demand a discount for purchasing or shop elsewhere. This can lead to lower profitability & lost revenue & could start a vicious cycle. <i>Sample Answer 2</i> It can make it more difficult to raise capital efficiently. New shares will be at a discount. If borrowing, interest rates will be high. Even good assets can't be sold for the best price because we can't wait for the best offer. <i>Sample Answer 3</i> Market capital reactions to an insurer entering distress tend to be a multiple of the actual drop in book value that caused the distress. <i>Sample Answer 4</i> Agency problems exist because management (on behalf of shareholders) may be better off taking higher levels of risk during distress while policyholders are primary debtholders that would be hurt by risk.	
Part b: 0.5 point	
<i>Sample Answer 1</i> Lack of access to capital markets (they have fewer choices for raising funds if they fall into distress). <i>Sample Answer 2</i> For mutual companies, policyholders are the owners and are more risk-averse than shareholders of public companies.	
EXAMINERS' REPORT	
Part a	
Candidates scored well on this part. To obtain full credit, the candidate had to provide two valid consequences, and explain why each would occur to an insurance company in financial distress. Common errors included: • Insufficient descriptions • Providing two consequences that were essentially the same, and so only earning credit for one of them.	
Part b	
Candidates scored well on this part. Only a brief description of each reason was required for full credit. The most common error was to provide two reasons that were essentially the same, and so only earn credit for one of them.	